

The bottom portion of the table shows how often various heights used in the computation work. Using half the pattern's height (as suggested above), we see the measure rule works between 78% and 82% of the time. Using taller heights means a lower success rate but more potential profit if price rises that far.

Flagpole top. I highly recommend you wait for price to close above the top of the flagpole (top of the pattern, really). Why? Because I've seen too many patterns where price breaks out upward from the flag and reverses before reaching the flagpole top. You want to give price every opportunity to reach a new high, so wait for the stock to clear the top of the pattern.

Stop location. The bottom of the flag makes for a delicious stop location. See [Table 35.7](#) for details.

Experience

No single failure type stands out in my trades. However, I did notice that the pattern failed to live up to expectations, that of price doubling after the breakout. In several trades, I saw price climb by 20% (or less), reverse, and make a substantial decline.

- Lesson: Don't expect price to double after the breakout.

I was stopped out of several trades by entering before price closed above the top of the flagpole (that is, price left the flag boundary but reversed before closing above the flagpole top). I learned to wait for a better entry, a close above the flagpole high.

- Lesson: Wait for price to close above the top of the pattern and then buy.

With other trades, I made a good entry and the pattern just didn't deliver. However, I did have success with one, and I wrote an article about it (a trade in Insteel Industries (IIN)). The stock climbed smartly after the breakout and paused along the way upward. I thought the uptrend was about to end, so I sold my position for a 28% gain. If I had hung in there, I'd have made (best case) 93%, or almost double my money. That would have been a